OXFORD ECONOMICS

Continued disruption to global oil market dents the outlook

- Key changes: We've lowered our 2026 GDP growth forecast for Sweden by 0.2ppts to 1.8% due to our updated forecast that sees oil prices staying higher for longer. We've also revised headline inflation up by 0.5ppts to 1.8%, which will dent household disposable incomes and hurt consumption. Although tax cuts are weighing on headline inflation, leading indicators point to mounting core price pressures. We expect the Riksbank to hike its policy rate by 25bps to 2% in September, although risks skew towards one more hike.
- Short-term forecast: Domestic demand will be the main growth driver amid the uncertain external backdrop. Fiscal policy loosening, real income gains, and improved confidence will drive higher household spending. Better demand prospects will support investment and Sweden's large defence industry. CPIF inflation shot up in May due to higher energy prices, and we expect it to average 1.8% this year.
- What to watch out for: Key risks to our forecast relate to the Middle East conflict and the impact it will have on commodity prices, growth, and interest rates. We expect the government to stick to limited support measures aimed at lowering the cost of transport fuels, and think the Riksbank will stay on hold until later this year. However, should the consequences of the Middle East conflict prove more severe, the government and the Riksbank would likely act more forcefully to prevent a larger downturn and to safeguard price stability.

Table 1: Sweden forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	0.0	1.9	1.7	1.8	2.1	1.9
Private consumption	-1.5	1.4	2.0	2.4	1.9	1.8
Fixed investment	0.4	-0.7	2.0	2.2	0.9	1.1
Exports of goods and services	2.9	2.9	4.2	3.1	1.0	1.0
Imports of goods and services	-0.3	1.4	4.6	3.0	0.3	0.8
Unemployment rate (%)	7.7	8.4	8.9	8.4	8.1	7.6
Government balance (% of GDP)	-0.9	-1.5	-1.2	-1.8	-1.3	-0.9
Current a/c balance (% of GDP)	6.2	6.8	6.0	4.7	5.3	5.1
Consumer prices at fixed interest rates	6.0	1.9	2.6	1.8	1.9	2.4
Central bank policy rate (%, EOP)	4.00	2.75	1.75	2.00	2.00	2.00
10yr govt. bond yield (%, EOP)	2.1	2.3	2.8	2.7	2.7	2.7
Exchange rate (kronor per euro, EOP)	11.1	11.5	10.8	10.6	10.2	10.0

Source: Oxford Economics

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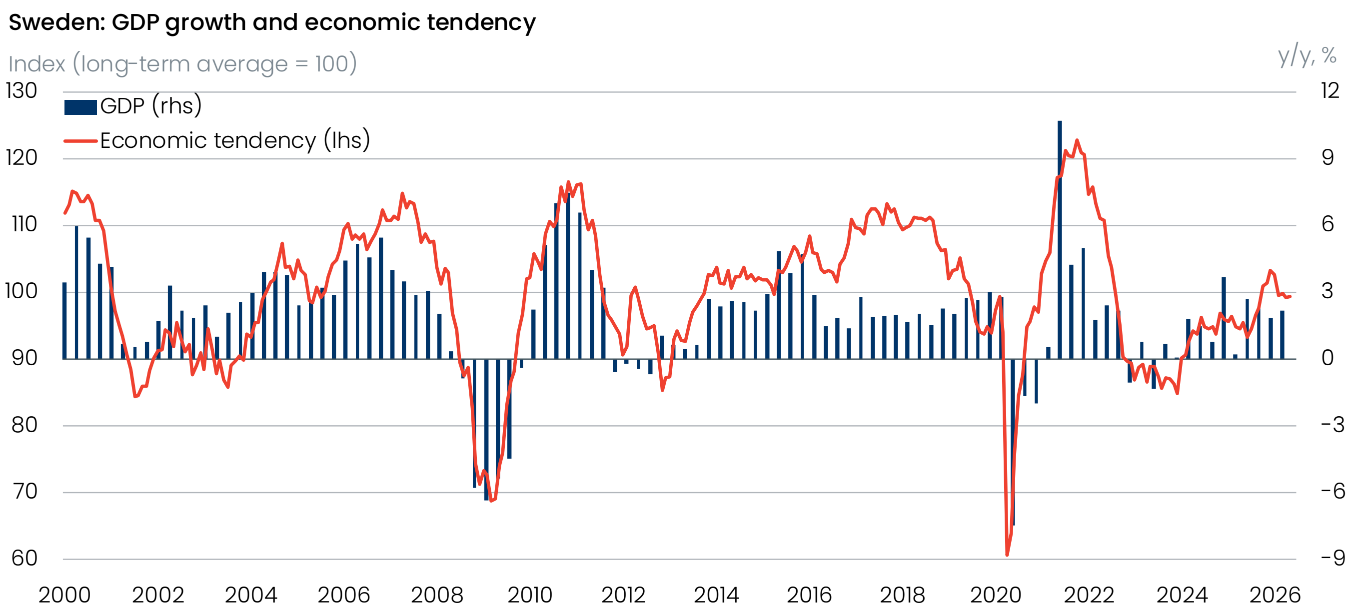
Baseline forecast

Recent developments

The revised estimate for Q1 GDP confirmed a small contraction, with the weakness led by fixed investment and government consumption, both partial reversals of an especially strong Q4. Private consumption expanded by a steady 0.6% q/q. As we now expect oil prices to stay higher for longer, we've revised down growth for this year by 0.2ppts to 1.8% and revised up headline inflation to 1.8%. Available data for Q2 point to decent growth, with monthly GDP up, led by the production side of the economy, while private consumption contracted. The economy-wide tendency indicator remained flat near 100 in May, a level historically consistent with healthy growth (Chart 1).

Headline inflation jumped to 1.5% in May, led by core inflation, package holidays in particular. Leading indicators point to mounting price pressures, with the Riksbank doubling down on its wait-and-see approach at its May monetary policy meeting. We still expect a 25bps rate hike to 2% at the September meeting, although risks skew towards one more hike this year.

Chart 1: The tendency indicator is consistent with decent near-term growth



Sources: Oxford Economics, Haver Analytics

Short-term forecast

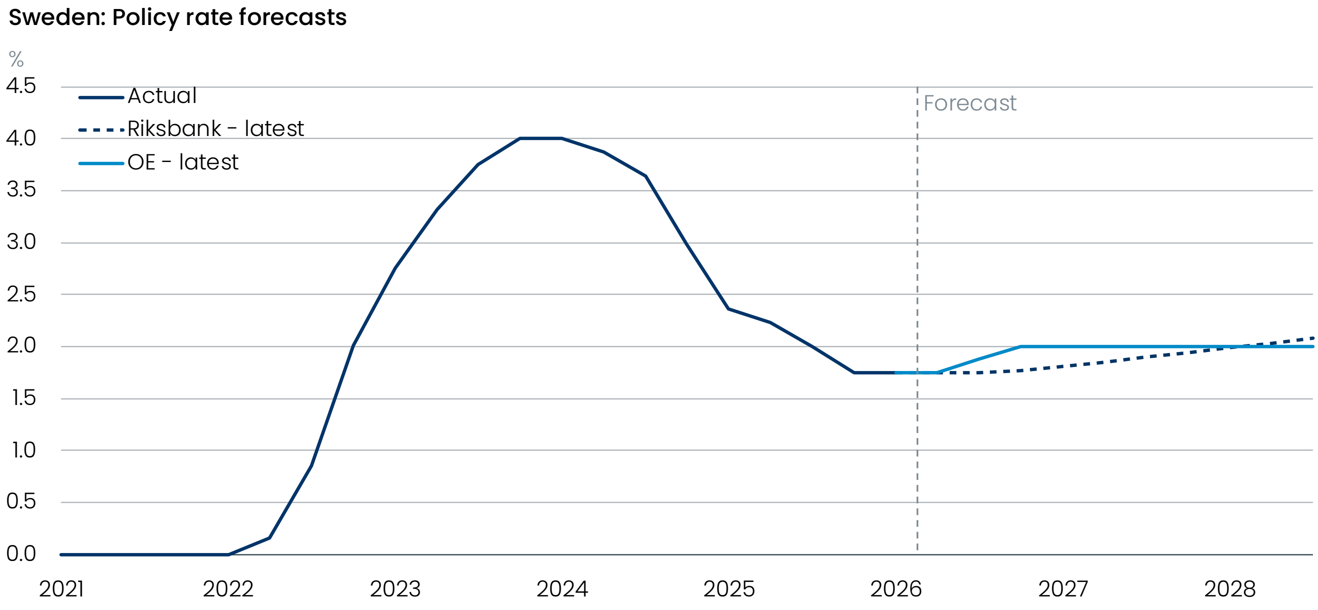
We've nudged down our GDP forecast for 2026 by 0.2ppts to 1.8%, due to higher-for-longer oil prices leading to higher inflation and weighing on domestic demand. Some of this will be offset by stronger growth in 2027, when we expect the economy to grow by 2.1%.

Policy assumptions

Fiscal policy. The fiscal stance this year is strongly expansionary, amounting to around 1% of GDP. Most of the stimulus is aimed at boosting household budgets. In the spring budget, the government lowered taxes on transport fuels to partially offset higher prices, while households will get partial compensation for high electricity prices in January and February. Based on April's inflation data, the halving of VAT on food was fully passed onto consumers. Food prices are down by over 6% since January.

Monetary policy. The Riksbank has adopted a wait-and-see approach in the wake of the Middle East conflict. We expect it to remain on hold through most of this year and hike by 25bps to 2% at the end of Q3, earlier than the Riksbank currently signals (Chart 2). However, there are two-sided risks related to the conflict. A larger hit to growth would call for more easing, whereas higher inflation, as implied by leading indicators, would require more tightening. We think the risks are skewed more towards the latter scenario.

Chart 2: We expect the Riksbank to hike the policy rate to 2%, but risks skew towards more hikes

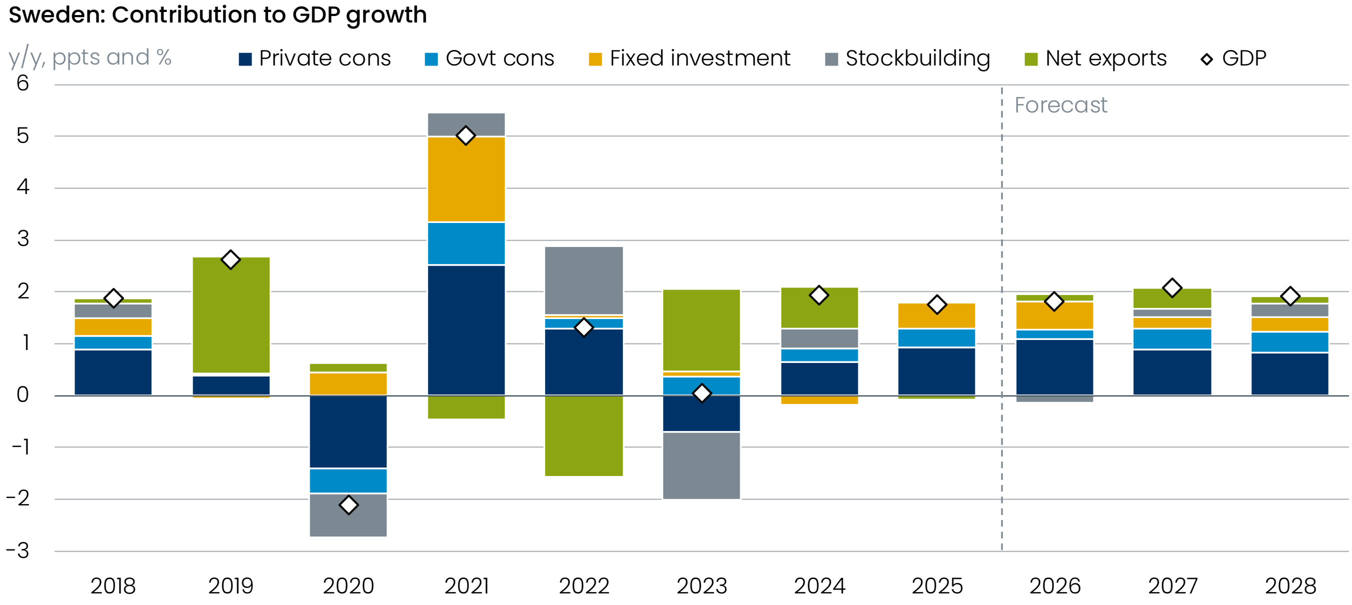


Sources: Oxford Economics, Haver Analytics

Key drivers of short-term forecast

Domestic demand will drive growth. We expect domestic demand to drive growth, fuelled by expansionary fiscal policy, positive real income gains, improved consumer confidence, and a stabilising savings rate (Chart 3). The labour market should also see a gradual improvement. At the same time, we expect external demand to be less supportive of growth due to higher US tariffs and fierce competition from Chinese manufacturers. Moreover, downward revisions to Germany's growth this year imply a weak demand environment in the Eurozone.

Chart 3: Domestic demand will be the main growth driver



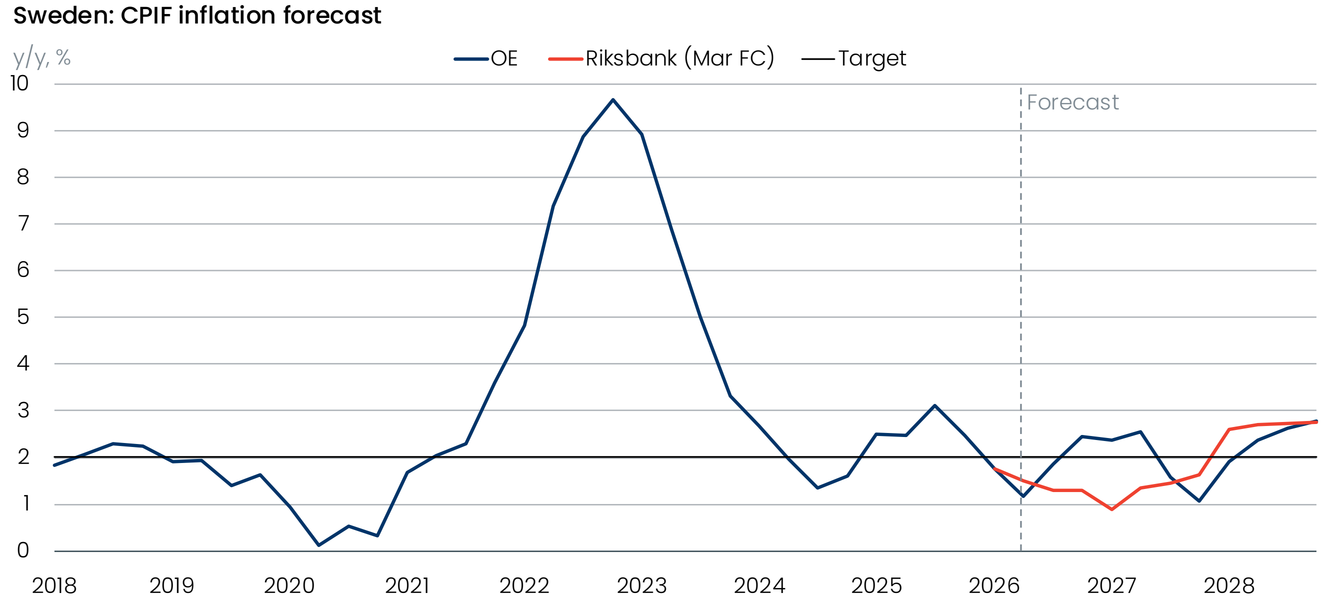
Sources: Oxford Economics, Haver Analytics

The inflationary surge should be smaller than in 2022. We expect the energy price surge due to the Middle East conflict to be smaller than in 2022, when Russia invaded Ukraine. The main channel of impact will be higher prices for transport fuels, partially offset by lower taxes. Electricity prices surged in January and February this year due to adverse weather conditions, but they've moderated since. Gas doesn't feature in Sweden's electricity mix.

Food prices have declined sharply this year, as firms fully passed on the halving of VAT in April to consumers. This tax effect will weigh on annual headline inflation for the next 12 months, benefitting consumers. However, as it's officially a temporary measure, food prices will surge after December 2027, when full VAT is set to be restored.

Core inflation is likely to rise with a lag due to second-round effects from higher energy prices. Overall, we expect headline CPIF inflation to average just under 2% this year. Although this is higher than the Riksbank forecasts (Chart 4), it should still mean the negative hit to household budgets will be relatively contained. However, the outlook is uncertain and much depends on when normal trade flows through the Strait of Hormuz resume.

Chart 4: Higher energy prices will offset lower food prices this year



Sources: Oxford Economics, Haver Analytics

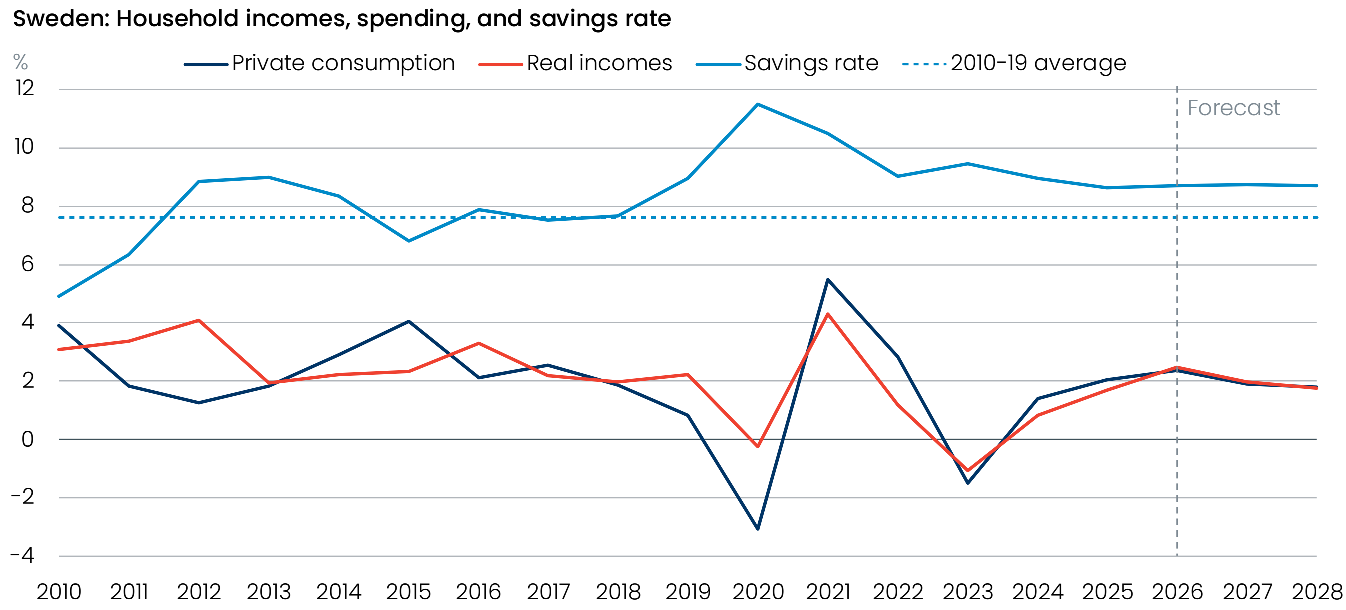
Financial conditions will tighten, weighing on credit flow. Although we expect the Riksbank to remain on hold, financial conditions have tightened, as markets expect more policy tightening in response to the surge in inflation. Benchmark government bond yields have jumped, as have interest rates on new mortgages and corporate loans.

Sweden's private sector is among the most indebted in Europe, with most mortgages on variable rates. This means that higher interest rates pass through quickly into the economy. The private sector's higher debt service ratio will lower disposable incomes.

We therefore expect credit flow to the private sector to slow and lower disposable incomes to translate into lower spending. This shouldn't derail growth, but it is one of the drivers behind our recent forecast downgrade.

Households will benefit from cyclical tailwinds. The household savings rate is almost 10%, around 2ppts higher than in the decade before the pandemic. This reflects precautionary savings after a series of recent adverse supply-side shocks. However, these have now largely played out, with households benefitting from cyclical tailwinds in the form of positive real income gains and supportive fiscal policy. We expect the savings rate to gradually fall, generating a key tailwind for growth (Chart 5). Household consumption is set to expand by 2.3% this year and 1.9% in 2027. The key risk is around the response of consumers to the Middle East conflict, with consumer confidence plunging, reversing recent gains.

Chart 5: Real income growth should drive household spending



Sources: Oxford Economics, Haver Analytics

Europe's rearmament will boost Sweden's industry. We expect European defence spending to rise in the coming years, driven mainly by Germany, the Nordics, Poland, and the Baltic states. In Sweden, the government has committed to increasing defence spending to 3.5% of GDP by 2030, up from around 2.5% in 2025.

We also expect a greater emphasis in Europe on sourcing from European arms producers. Sweden has a large defence industry relative to the size of its economy; hence, higher defence spending at home and abroad should boost growth. Although it isn't straightforward to obtain official data on defence-related production, we think defence spending is already having a material impact on headline industrial production numbers.

Given production bottlenecks and the long-term ramp-up in defence spending, we expect this boost from the defence industry to play out incrementally over the coming years.

What to watch out for

Fiscal and monetary policy surprises. Our current baseline incorporates supportive fiscal policy and neutral monetary policy. However, should inflation surprise to the upside, the government may pull back on some of the fiscal stimulus to dampen demand-side inflationary pressures, and the Riksbank might tighten policy. This would weigh on growth. Conversely, should growth disappoint, there could be more fiscal and monetary policy easing. The Riksbank will also keep an eye on the krona exchange rate, which has recently weakened, implying higher prices for imported goods and services.

Consumers spending or saving real income gains. High inflation and higher mortgage payments have eroded the spending power of households over the past three years. But consumption has also suffered due to the build-up of precautionary savings amid weak confidence and uncertainty. The savings rate remains around 1ppt higher than in the years prior to the pandemic. The extent to which households spend or continue saving their real income gains amid a new adverse external shock will be key for the consumer rebound.

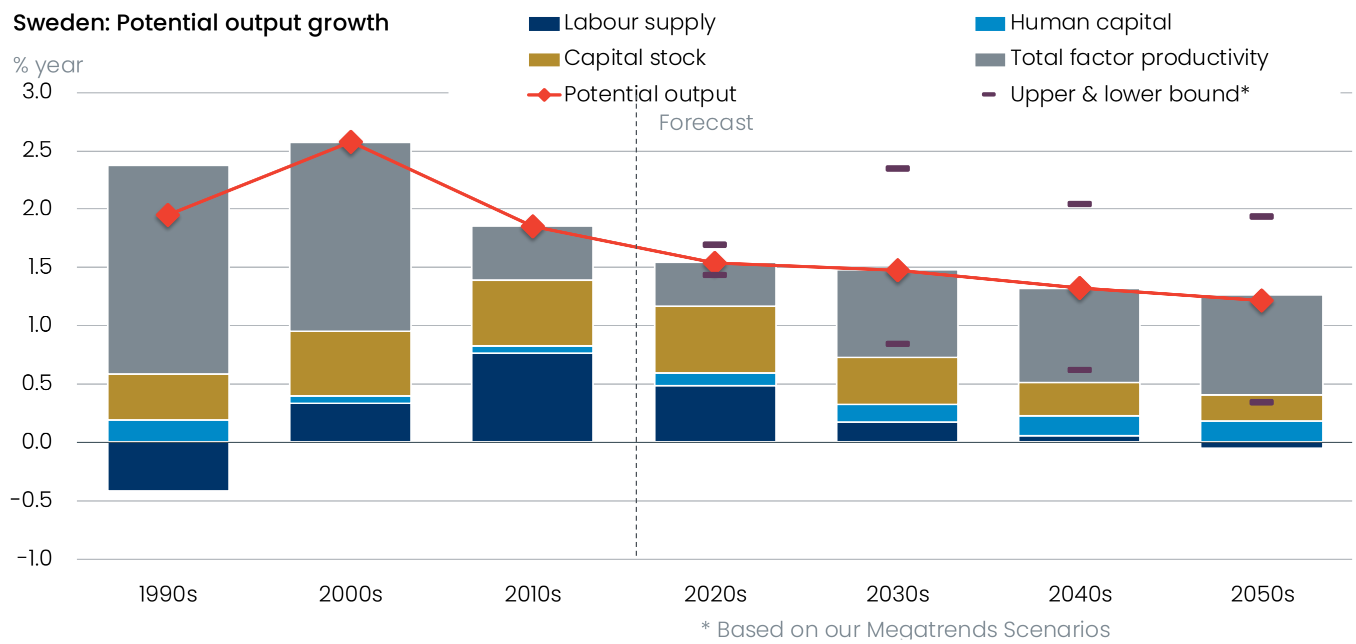
Labour market trends. Sweden's unemployment rate has risen to almost 10%, one of the highest in the EU. However, this has been driven by a surge in the labour force, with total employment largely flat. We expect employment to resume growing, bringing down the unemployment rate and boosting aggregate household incomes. We don't expect the Middle East conflict to have a material impact on the labour market, but it's a key risk to watch.

Rising global protectionism. Sweden is a small and trade-sensitive economy that runs large external surpluses. In the 2010s, growth in exports of goods and services far outpaced growth in domestic demand as the external sector became a key growth engine. We think the external environment will be less favourable in the coming years due to rising geopolitical tensions among major trading blocs – the US, Europe, and China – and related policy uncertainty. We expect domestic demand to become a more important growth driver.

Long-term prospects

Our forecast for Sweden's potential output incorporates the latest population and migration estimates, including a lower estimate for net migration, as part of our latest population update. Over the long term, we expect potential growth to decline to just over 1%, driven by more adverse labour supply and faster depreciation of the capital stock, consistent with an accelerated life cycle for technology. Still, Sweden will remain an attractive destination for foreign workers, who have driven most of the labour force gains over the past decade, and businesses are well-placed to implement and benefit from AI investment (Chart 6).

Chart 6: Our baseline forecast shows an increasing reliance on productivity growth



Sources: Oxford Economics, Haver Analytics

The participation rate among the working-age population has risen over the past 10 years, partly due to the introduction of earned income tax credits and better integration of foreign-born workers. The success of the government's measures to integrate migrants socially and professionally will influence the pace of long-run growth. Despite the benefits of a low corporate tax rate and highly favourable business conditions, including a strong ecosystem for funding and scaling start-ups compared with the rest of Europe, we expect slower GDP growth and elevated uncertainty overseas to dampen investment growth, particularly in the private sector. In the coming years, growth will increasingly rely on improving productivity. We expect the structure of the Swedish economy to shift more towards services.

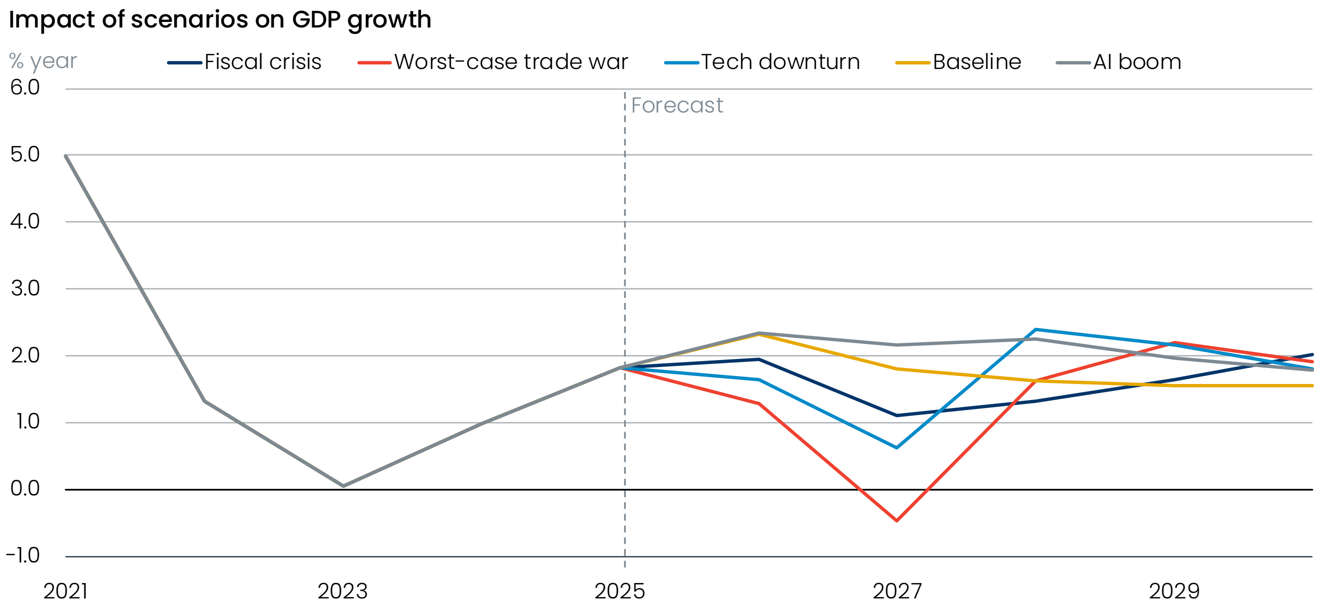
We've slightly increased our forecast for long-term growth due to higher defence spending in Sweden and Europe, which should benefit Sweden's large defence industry. The EU's focus on procuring defence equipment from European sources should provide an additional boost.

Scenarios

Exposure to key global risks

Worst-case trade war. In this scenario, US trade deals prove fragile. The US removes key tariff exemptions and raises import tariffs beyond trade agreement levels. Affected economies retaliate with corresponding tariffs on US exports. The expected renegotiation of USMCA fails to materialise, keeping tariffs elevated throughout the scenario. The US economy contracts throughout 2026. Disrupted supply chains coincide with higher tariffs, impacting investment. Worsening investor sentiment amplifies the hit to demand. Over the next three years, Sweden's GDP growth would be 1.1ppt a year below our baseline forecast in this scenario (Chart 7).

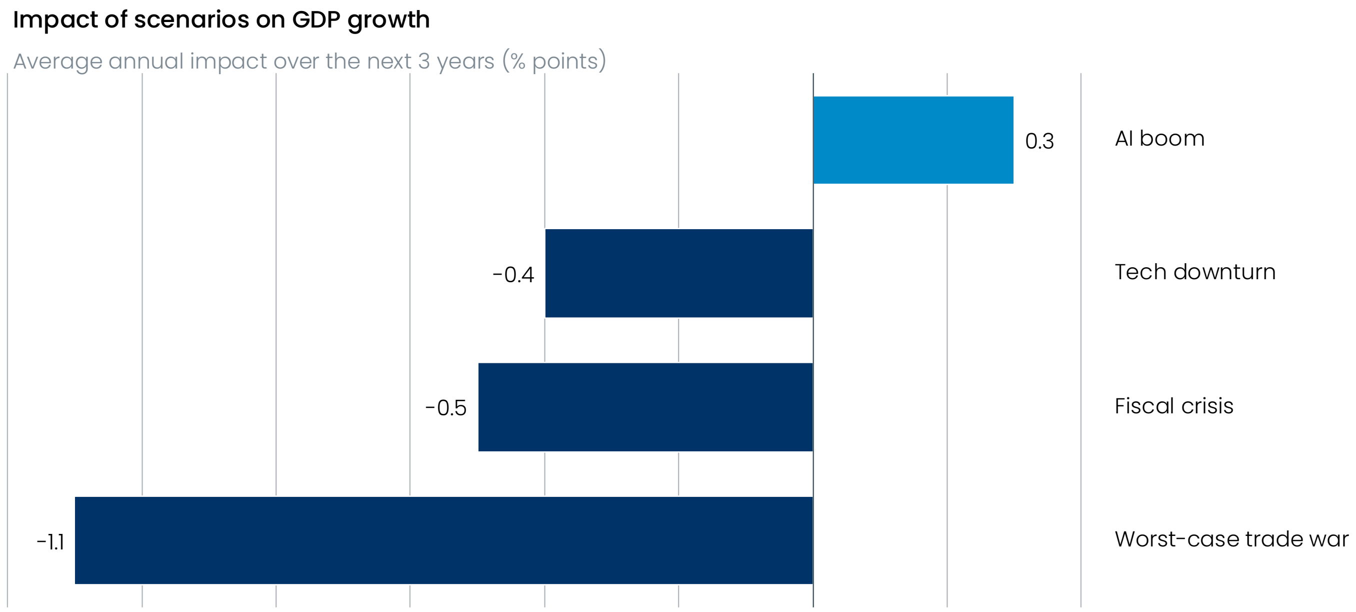
Chart 7: A more severe trade war and a tech downturn are key near-term risks



Source: Oxford Economics

Tech downturn. AI boom turns to bust in this scenario, with global growth slowing sharply under the weight of falls in stock prices and investment. In financial markets, concerns rise over tech sector valuations. US tech stocks fall by 25% in the first year of the scenario as a result. US growth grinds to a halt during 2026, despite increased Fed policy easing, as the recent surge in US capital expenditure abruptly ends. Falls in tech investment echo the weakness seen following the bursting of the dotcom bubble. US weakness spills over globally. Over the next three years, Sweden's GDP growth would be 0.4ppts a year below our baseline forecast in this scenario (Chart 8).

Chart 8: Risks are skewed to the downside



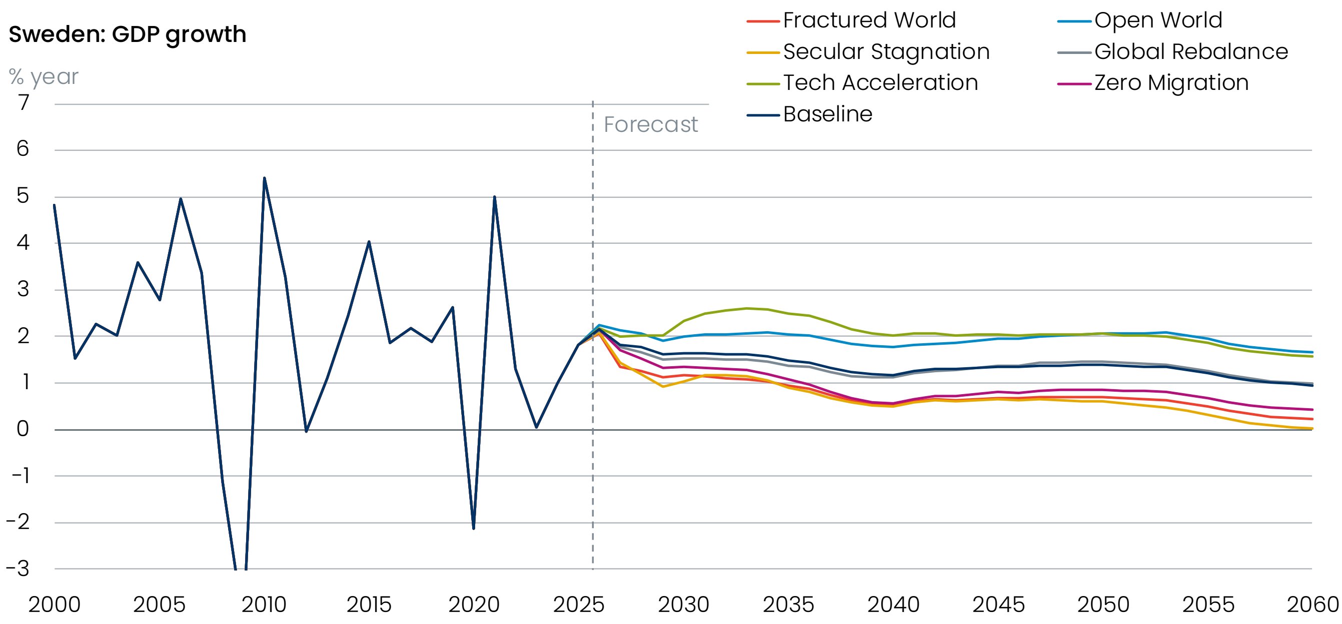
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Tech acceleration. In this scenario, the successful deployment of new technologies, including AI, lifts economic growth through higher productivity and faster innovation. Countries at the technological frontier, which include Sweden due to its high levels of human and physical capital, benefit first. Productivity growth is stronger, domestic inflation weaker, and governments benefit from fiscal dividends and stabilising debt-to-GDP ratios, thanks to higher tax receipts and lower welfare transfers. Swedish GDP growth would be 0.8ppts a year more than in our baseline forecast from 2030-2050.

Chart 9: As a small and open economy, Sweden is highly sensitive to external developments



Sources: Oxford Economics, Haver Analytics

Zero migration. Under this scenario, future flows of migration are removed from our baseline to isolate what migration contributes to growth, incomes, fiscal stability and inflation across both destination and origin economies. We assume no policy response from governments in this scenario. GDP growth suffers due to a smaller labour force and lower positive spillovers into productivity growth. Labour markets tighten in the near term, pushing unemployment below the baseline. But over the long term, weaker productivity and lower employment present drags. Growth in Sweden would be 0.5ppts lower on average in the coming decades.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

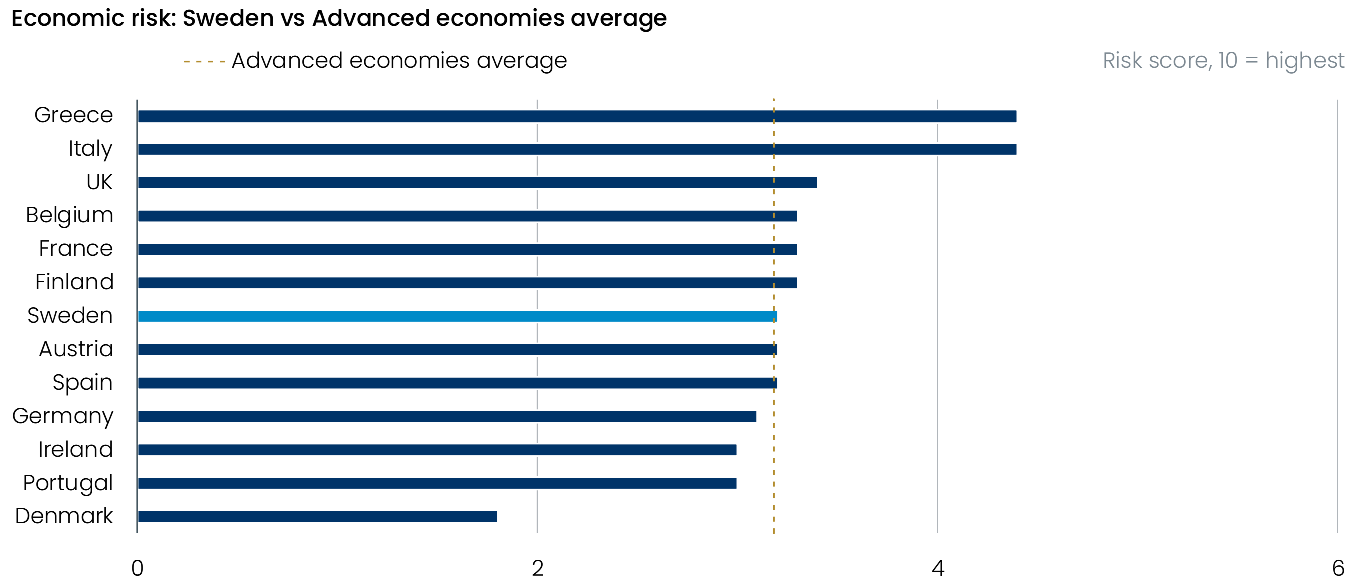
	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	3.2	0.0	16
Market demand	3.0	0.0	7
Market cost	3.0	0.0	13
Exchange rate	3.5	0.0	79
Sovereign credit	2.6	0.0	6
Trade credit	4.0	0.0	15

Source: Oxford Economics

Overall risk for Sweden: 3.2/10*

Sweden's economic risk score is the same as six months ago, at 3.2. This ranks it 16th out of the 164 countries in our survey and in line with the average of advanced economies (Chart 10).

Chart 10: Sweden's risk score is in line with the advanced economies average



Source: Oxford Economics

Sweden had a relatively mild downturn during the coronavirus pandemic and was among the best performers in Western Europe in the immediate aftermath. But the economy has struggled over the past three years under the weight of high inflation and interest rates. That said, we expect growth to pick up in the near term, driven by a domestic demand rebound and strong policy support. Long-standing issues such as the housing shortage, the need to better integrate migrants into the labour market, and weak productivity will need to be addressed over the medium term to lift potential growth and safeguard public finances.

Market demand: 3.0/10

The market demand risk score of 3.0 is the same as it was six months ago and below the average of 3.4 for advanced economies.

After a strong post-pandemic rebound, domestic demand has flatlined over the past two and a half years amid the double shock of high inflation and surging interest rates, but that's over now. Inflation and interest rates have declined and real incomes have turned positive. We expect a domestic demand-led recovery this year and next, partially making up for the recent fall.

Market cost: 3.0/10

The market cost risk score of 3.0 is slightly above the advanced economies average of 2.7, reflecting that Sweden's borrowing costs have historically tended to be higher than those of the Eurozone.

Despite negative interest rates between 2015 and 2019, the Riksbank struggled to get inflation to reach its policy target of 2% on a sustained basis. But the volatility around the pandemic and subsequent supply shortages and an energy price shock have changed the environment, with the Riksbank playing catch-up amid much higher-than-expected inflation. Most recently, the Riksbank has pursued a front-loaded easing cycle since May 2024 amid clear signs of inflation declining and the economy and labour market significantly weakening. We expect it to keep the policy rate at the current 1.75% until Q3 and then hike it to the terminal rate of 2%.

Exchange rate: 3.5/10

Under our methodology, Sweden's exchange rate risk score is 3.5, some way above the advanced economies average of 3.2.

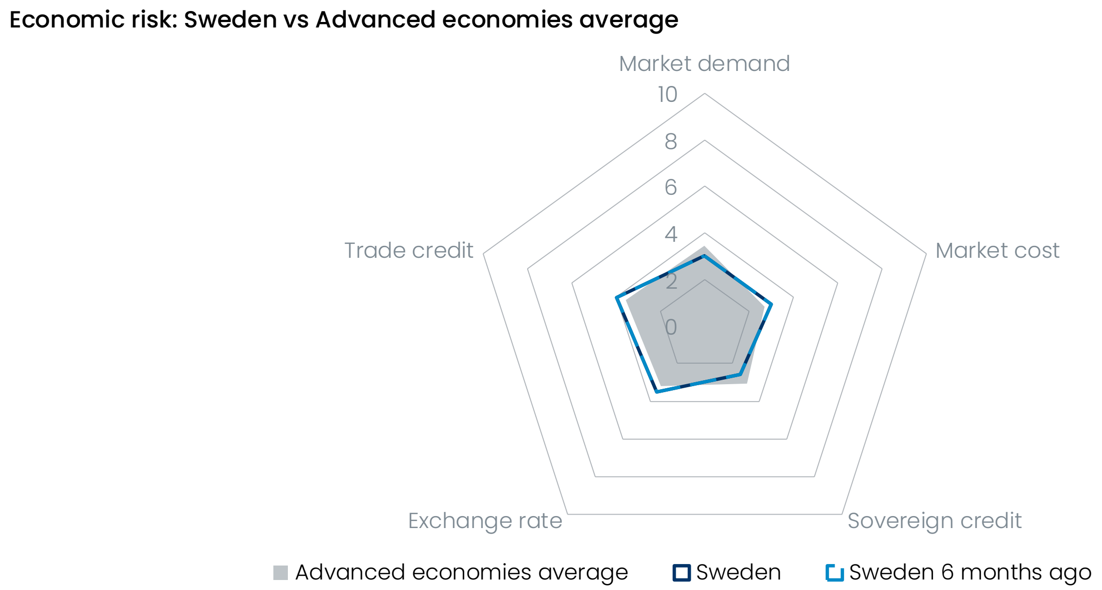
As a small and open economy, Sweden is vulnerable to shifts in investor sentiment, as well as interest rate moves at home and abroad. The Swedish krona declined steadily between 2015 and 2020 relative to the euro due to negative outlooks for growth and inflation, but strengthened thereafter, as inflation was brought under control and growth gained momentum. The krona receives strong structural support from Sweden's large current account surplus, healthy public finances, and credible central bank, and the period of appreciation can be seen as the start of a reversal of its era of undervaluation. The Iran war and the Riksbank's wait-and-see approach to it led to the krona weakening again, but we think this will be a temporary blip in the broader strengthening trend.

Sovereign credit: 2.6/10

Sweden's sovereign credit risk score of 2.6 is the same as six months ago and below the 3.1 average for advanced economies. The government maintains ample fiscal space, with a surplus in 2022 and small deficits in 2023-2024. Despite significant fiscal stimulus in 2020-2021 and the recent recapitalisation of the Riksbank, debt is low by European standards, and we expect it to decline over the forecast horizon.

Sweden is rated at the highest level of creditworthiness by the major rating agencies, retaining its AAA rating with a stable outlook from S&P, Moody's, and Fitch, even during the global financial crisis.

Chart 11: Sweden scores comparatively poorly on FX and sovereign credit risk



Source: Oxford Economics

Trade credit: 4.0/10

Trade credit risk – a measure of private-sector repayment risk – is at 4.0, slightly higher than the average of advanced economies. Although levels of corporate debt have risen, debt-servicing costs remain low. This reduces the risk of firms defaulting, especially as consumer demand and economic growth were strong during the decade before the pandemic. The regulatory environment is favourable, and Sweden consistently ranks among the best economies to do business with globally.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see Economic and Political Risk Dashboard. Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. Find out more.